

The Workflow Explosion That Kills Your Second Hire

At 20-50 people, the founder's informal system becomes 47 disconnected workflows that the first manager cannot navigate.

Stage: 20-50	Constraint: Operating Systems and Workflows	Field Observations
--------------	---	--------------------

Tito Salas

Founder with a decade of experience scaling distributed engineering teams. Writing in real time about scaling in the AI era.

01 Stage + Constraint

This issue is built for founders running a 20-50 person company where the binding constraint is Operating Systems and Workflows.

02 The Decision

You are at 35 people. You just hired your first operations manager, your first senior account director, or your first fulfillment lead. the person who is supposed to take the coordination load off you so you can focus on client relationships, fundraising, or strategic hires. Within 30 days, that manager is spending 60 percent of their time asking you clarifying questions, hunting for information in five different Slack channels, and recreating context you assumed was already documented. You thought you hired leverage. You got a bottleneck.

The real decision is not whether to document your workflows. That ship sailed when you crossed 20 people. The decision is: which of your 47 active workflows do you formalize first, and which ones do you intentionally leave informal because formalizing them now would calcify the wrong answer? At 35 people, you do not have the organizational capacity to document everything simultaneously. You will burn out the manager you just hired if you ask them to reverse-engineer every handoff, approval gate, and exception process while also delivering their core function. The mistake founders make is treating workflow documentation as an all-or-nothing project. It is not. It is a prioritization problem, and the wrong prioritization order creates more chaos than it resolves.

We have observed this failure mode repeatedly across logistics clients scaling fulfillment operations, staffing clients building recruiting process infrastructure, and professional services firms operationalizing client delivery after the founder-run phase. The surface symptom is always the same: the new manager asks the founder for clarity on a handoff, the founder says 'just handle it the way I would,' and the manager has no idea what that means because the founder's decision-making is still primarily relationship-driven and context-heavy, not rule-driven. The manager cannot replicate the founder's judgment without the founder's context, and the context lives in the founder's head, not in a system the manager can access.

03 The Tool

FRAMEWORK

[Scorecard] The Workflow Formalization Scorecard

This scorecard helps you rank your active workflows by formalization urgency, so you document the right ones first and leave the rest informal until the organization is ready.

Score each workflow on three dimensions, then prioritize the top quartile for immediate documentation.

Dimension 1: Handoff Frequency. How many times per week does this workflow cross between two people or teams? High-frequency handoffs (daily or more) score 3 points. Medium-frequency (weekly) score 2 points. Low-frequency (monthly or less) score a meaningful amount. High-frequency workflows cause the most coordination friction when informal, because every handoff is a potential breakdown point. A client onboarding workflow that runs 15 times per week at a staffing firm scores a 3. An annual budget approval process scores a 1.

Dimension 2: Judgment Dependency. Does completing this workflow require founder-level judgment, or can it run on clear rules? Rule-driven workflows score 3 points (high formalization urgency, because they can be documented and delegated cleanly). Judgment-heavy workflows score a meaningful amount (low formalization urgency, because trying to document them now will produce a process that breaks the first time an edge case appears). A candidate screening workflow with clear pass/fail criteria scores a 3. A major client escalation workflow that requires reading client relationship history and founder intuition scores a 1. Medium-judgment workflows (some rules, some discretion) score 2 points.

Dimension 3: Error Cost. What happens if this workflow breaks? High-error-cost workflows (client churn, regulatory penalty, revenue loss, safety incident) score 3 points. Medium-cost (internal rework, delayed delivery, team frustration) score 2 points. Low-cost (minor inconvenience, easily reversible) score a meaningful amount. A payroll approval workflow in a logistics company with 40 drivers scores a 3 because payroll errors cause retention crises. A meeting scheduling workflow scores a 1.

Add the three scores. Workflows scoring 7 to a meaningful amount are your formalization priorities. Workflows scoring 3 to a meaningful amount should remain informal for now. Workflows scoring 5 to 6 points are judgment calls; formalize them only if you have spare capacity after handling the 7-to-9 group. The goal is to create a small set of documented, reliable workflows that your new manager can run without constant founder clarification, while explicitly permitting the rest of the operation to stay informal until the team is larger and the right answers are more stable.

In our experience placing operations leads and account directors at 30 to 50 person companies across staffing, logistics, and professional services, the managers who succeed in the first 90 days are the ones whose founders handed them 3 to 5 formalized workflows on day one, not 47 half-documented ones. The manager can own those 3 to 5 cleanly, improve them incrementally, and build credibility. Asking a new manager to formalize everything simultaneously is a setup for failure, because the manager does not yet have the organizational authority or the contextual knowledge to make good workflow design choices under that much scope pressure.

04 Pattern and Anti-Pattern

WHAT WORKS

Selective Formalization. The companies that scale smoothly

WHAT BREAKS AT SCALE

Documentation Theater. The failure mode that looks like good

from 20 to 50 people do not try to formalize everything at once. They formalize the 3 to 5 workflows that are both high-frequency and high-error-cost first, document them to a level where a new hire can execute them without real-time founder guidance, and leave the rest of the operation informal until those foundational workflows are stable. This approach works because it gives the organization a small number of reliable systems to build on, rather than a large number of half-finished process artifacts that no one trusts or follows.

We have seen this pattern work across multiple industries. A 40-person logistics client formalized their driver onboarding workflow (high frequency, high error cost), their dispatch handoff protocol (high frequency, medium error cost), and their monthly safety review process (low frequency, high error cost). They left client pricing, route optimization, and sales territory assignment informal, because those workflows were still evolving as the company's service model matured. Within six months, the three formalized workflows became organizational muscle memory, and the operations manager had earned enough credibility to take on the next layer of formalization. A 35-person staffing client followed a similar path: they formalized candidate intake, client onboarding, and timesheet processing first, and left job description drafting and client negotiation informal. The pattern holds.

process discipline but breaks at this stage is attempting to document every workflow simultaneously in a single process improvement initiative. Founders at 30 to 40 people see the coordination chaos, conclude that the answer is comprehensive process documentation, and launch a 90-day project to write down everything. The result is a Google Drive folder or Notion workspace with 40-plus process documents that are 60 percent complete, inconsistently formatted, and immediately out of date because the business changed while the documentation project was underway.

This breaks for two reasons. First, writing a process document requires understanding what the process actually is, and at 35 people many of your processes are still founder-intuition-driven, not rule-driven. Trying to document a process that is not yet stable produces a document that is wrong within weeks. Second, asking a new manager to document 47 workflows is asking them to do systems architecture work, not management work. That is a different skill, and most first-time managers at this stage do not have it yet. They end up spending three months writing documents instead of managing people, and the team loses confidence in them because they are not visibly delivering operational improvements. The documentation project becomes a credibility trap. We saw this exact failure mode in a 45-person professional services client in 2024: the new COO spent four months building a process library,

the library was not adopted because it was too complex and too detached from daily work, and the COO left within a year because the founder concluded the hire was not working. The mistake was the scope, not the person.

05 Evidence Pack

06 Action This Week

DO THIS IN THE NEXT 5 BUSINESS DAYS

1. List every workflow that crosses between two people or functions in your company right now. Do not filter yet. Just list them. You will likely find 40-plus.
2. Score each workflow using the three-dimension scorecard: Handoff Frequency (1-3), Judgment Dependency (1-3, with 3 meaning low judgment/high rule-clarity), and Error Cost (1-3). Add the scores. Rank the workflows by total score.
3. Pick the top 3 to 5 workflows (scores of 7-9) and assign documentation ownership to your new manager or a senior operator who will own that workflow long-term. Set a 30-day deadline for a single-page written process document for each. Leave the rest informal. Revisit the list in 90 days after those 3 to 5 are stable.

Subscribe at decodingscale.com

One Decision Memo every Thursday. Free.

2026-W26 . Tito Salas . CodersLink